

# Hithium — Strategy Addendum

What to propose, the honest AIDC read, and what to ask

**Prepared** 15 August 2026 · **Companion** hithium-interview-brief.md, which is the full reference ·

**Classification** Internal – interview preparation

**Sourcing** Market facts are sourced; the layer analysis, the weak AIDC grading and the sell-to-the-grid reframe are labelled analysis, not sourced conclusions

**Three dense pages: the two things to lead with, the strategies held in reserve, the honest AIDC read, and what to ask.** Companion to [hithium-interview-brief.md](#) — the brief is the 21-page reference, this is the short sheet you re-read before walking in.

## Lead with these two — not six

He ran this playbook at Sungrow. Offer them as hypotheses to test against his pipeline — *"my instinct would be X, but you'd know whether the pipeline looks like that"* — never as advice.

**1 · Own the MACR arithmetic.** The ratio is  $(A - B) \div A$  across the direct cost of **all** project equipment — PCS, transformers, switchgear, HVAC, enclosures, controls, balance-of-plant, not just cells. So a project can clear 55% non-PFE **while still containing Hithium cells**, if the rest of the BOM is domestic or allied and the cell share is sized deliberately. Arrive with a worked model showing how much Hithium content *their* project can absorb and still qualify. It converts the rule that is hurting you into a service only you are motivated to provide, and it puts you beside tax counsel — the real gate — as a helper. Concede the limits yourself: their counsel owns every number, and the threshold climbs to **75% for 2030 starts**, so use the headroom while it is wide.

**2 · Sell to the grid, not to the data centre.** The largest storage buildout AI demand is causing is utility- and IPP-owned front-of-meter storage that lets the grid absorb data-centre load — against interconnection queues of 2–4 years and transmission upgrades of 7–10. Ordinary FOM projects, judged on duration, cycle life and price: Hithium's criteria. **"Hithium doesn't need to be inside a data centre to be paid by data-centre demand growth."**

## Held in reserve

| STRATEGY                               | MECHANISM                                                                                                                                                                                                                    |
|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Harvest the pre-2026 safe-harbour pool | Construction started on/before 31 Dec 2025 is outside material assistance and builds through ~2028–29. <b>You cannot create new ones</b> — the 5% test is gone above 1.5 MW AC. A depleting list, so urgency is the strategy |
| Sell where the ITC isn't in the model  | Merchant, BTM, non-taxpaying owners, augmentation, speed-over-subsidy. Compliant supply now carries a premium — for these buyers January made Hithium a <i>better</i> deal                                                   |

| STRATEGY                                       | MECHANISM                                                                                                                                                                                                |
|------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Mesquite as documentable content</b>        | Not "we're local" but auditable non-PFE cost share, feeding strategy 1. Concede it doesn't make the cells non-Chinese                                                                                    |
| <b>Duration as the moat policy can't reach</b> | No mass-produced like-for-like above 1,000 Ah. <b>Policy risk is lowest where technical substitutability is lowest</b>                                                                                   |
| <b>Copy the ZOE template</b>                   | A Chinese maker signed a Saudi JV for 6 GWh, Q1 2027 — localisation keeping control instead of licensing to a future competitor. Still needs Beijing's nod, but far easier than a Reliance-scale licence |

## The US AI-data-centre read — weak, and say so

He knows the product gaps precisely, so the honest answer beats the bullish one.

| THE PROBLEM                                       | WHY IT BITES                                                                                                                                                                                                                                                                                 |
|---------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Wrong layer</b>                                | AIDC storage is (a) rack BBU / supercap / facility UPS and (b) campus-and-grid BESS. Hithium has <b>no BBU, supercap, UPS, PCS or rack form factor</b> — only containers and cabinets. It plays in (b) alone, selling DC blocks where data-centre EPCs buy integrated AC systems             |
| <b>The most China-averse buyer class there is</b> | Hyperscalers, neoclouds and their financiers — tightest supply-chain policy, most political exposure                                                                                                                                                                                         |
| <b>A security overlay money can't fix</b>         | Undocumented comms hardware, including hidden cellular radios, was reported in Chinese-made inverters <b>and batteries</b> ; the FCC's stated rationale is remote firmware push by a foreign adversary. A connected Chinese BMS in a training campus is a security review, not a negotiation |
| <b>FEOC on top, against domestic rivals</b>       | Megapack is already the AI-campus reference product and goes US-manufactured from late 2026, with Fluence and Sungrow alongside                                                                                                                                                              |

**One constructive product idea:** the FCC determination reportedly excludes equipment lacking remote control or using **air-gapped external control**. A deliberately air-gapped variant answers the security objection by design.

**The Gulf correction — get it the right way round.** Gulf AI investment with the US was conditioned on **divesting Chinese equivalent technology**, chip access being the lever, so Gulf *AI-data-centre* equipment is where Chinese content is squeezed out. Gulf **grid** storage is wide open: Saudi's SPPC has a 3 GW / 12 GWh tender, 27 prequalified, and Hithium already holds Tabuk and Hail. Same country, opposite answer.

## Two questions this sets up

1. **\*\*\***"Is AI data centre a market we're going after, or one whose *grid impact* we're going after? Those need different products and I'd rather know which conversation I'm in."\*\*\* — If the former, the missing rack-and-UPS layer is a build/buy/partner call, not a sales problem.
2. **"Is the pre-2026 safe-harbour pipeline already worked, or is that greenfield?"** — Actionable, and it shows you know that pool is finite and on a clock.

## Do not say

- **"The Texas plant makes us FEOC-compliant."** Overclaiming a tax outcome loses a technical audience instantly.

- *"We're cheaper than Tesla."* A lost ITC swamps any cell-price delta.
- *"The Gulf is our way into AI data centres."* Backwards, and he will know it.
- Any precise total tariff figure. The 301 line went 7.5% → 25% in January; the rest moved when the Supreme Court struck the IEEPA tariffs in February.

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Hithium — Strategy Addendum (Sales Role, Round 3) · Internal, interview preparation · Rendered from hithium-strategy-addendum.md, which remains the source of truth · Developed by: ShadowAISolutions